

when the market is swinging downwards and help you make better buying and selling decisions.

You have realistic expectations about the long-term performance of the stock market. The average return of the U.S. stock market based on the S&P 500 since its inception in 1926 has been about 10%. Of course, an average doesn't mean it has been 10% every year. There have been years when the average rate of return has been much higher and the stock market has had double-digit gains above 10%. There have also been years where the stock market has had really major declines and, as a result, double-digit losses. But despite the peaks and valleys, over the long term the average return has stayed consistent. While past performance does not predict the future, it's a pretty good benchmark to use, keeping in mind that you'll want to adjust for that 2% average inflation. This adjustment makes the effective historical rate of return between 7 and 8%. So, when it comes to setting your expectations, especially as a new investor learning the ropes, I recommend being mentally prepared for the losses as well as the gains. When you're crossing through one of those valleys, keep walking toward the peaks.

You have a plan to diversify your investments. When it comes to investing in the stock market, it's important that you don't go all-in with one type of stock or one industry. Otherwise, you might find that you've taken on a ton of risk when that stock or industry goes through a rough patch. Having a plan to diversify your portfolio also means that you have a plan to mitigate your risk. It's all about having a good mix of investments. This way, even if one stock or industry goes down, the others could keep your overall portfolio stable.

We'll be delving into investment researching, diversification, retirement investing, risk tolerance, and more in upcoming chapters.

SETTING YOUR INVESTMENT OBJECTIVES

As important as it is to plan to invest for the long term, it's equally important to clearly define your investment objectives in relation to your financial goals. Basically, what are the things that you want your money to